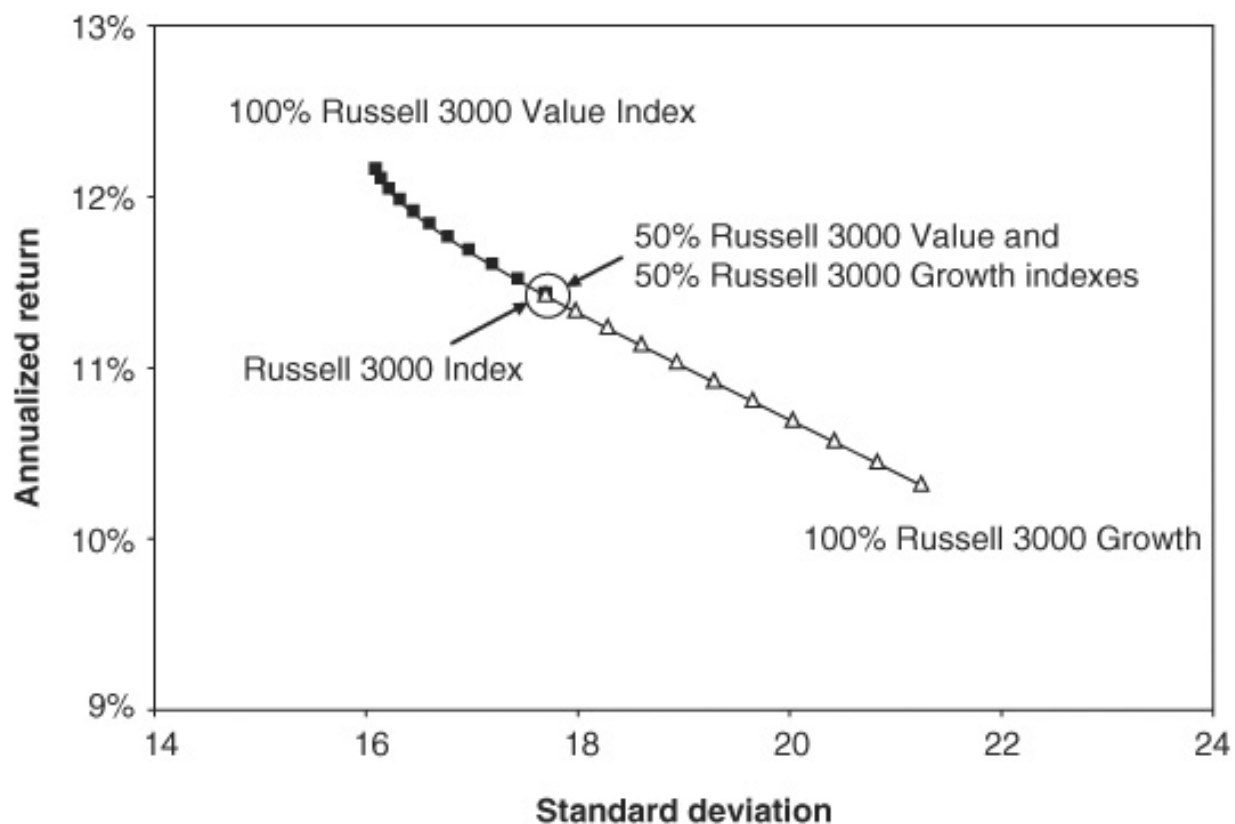




Value investing has had merit because value stocks have outperformed growth stocks over most periods, and they did it with what appears to be less risk. However, the markets have a way of punishing those who think there is a free lunch. Fama and French would argue that there is more risk in value stocks, and that is why the returns were higher. The risk has simply not shown itself in the standard deviation of returns.

A second and important item of interest in [Figure 6-6](#) is the point in the middle of the chart. A portfolio of 50 percent in the Russell 3000 Growth Index and 50 percent in the Russell 3000 Value Index shows almost exactly the same risk and return as the Russell 3000 Index over the entire period. There was no benefit to holding a growth Fund and Value Fund in equal amounts. Yet, this strategy is one often recommended by investment advisors. A better strategy is to hold the total market and add elements such as small cap and value based on the total risk you are seeking.

SMALL-CAP VALUE AND RISK DIVERSIFICATION

We have observed that small stocks exhibit higher expected rates of return than larger stocks, albeit with a higher standard deviation of returns, and we